

Skeena Resources

Franco-Nevada C\$81m financing reduces funding requirement and provides cushion through permitting

Following our [re-initiation of coverage](#) earlier this week, Skeena Resources (“Skeena”) has announced an agreed C\$81m financing package with Franco-Nevada (“FN”) and a C\$10m flow-through financing. The C\$81m is split between a C\$56m for a 1% Net Smelter Return (“NSR”), as well as a C\$25m unsecured Convertible Debenture. We see this update as an endorsement from the leading gold-focused royalty and streaming company that this project has strong potential to be financed in the near term. We note FN already had a 1.5% NSR royalty on all of Skeena’s Eskay Creek properties. The Debenture will carry a 7% interest rate, with interest payments capitalised, and will mature on the earlier of Dec’28, or on the completion of a Board approved project financing for Eskay Creek. FN will have the option to convert the loan to equity at C\$7.70/sh, a 35% premium to Skeena’s 5-day TSX VWAP. We model this conversion to occur mid-2024 for a total of 3.35m shares. We update our future funding requirement assumptions, reducing the required raise by C\$51m, C\$15m, and C\$15m across the stream, equity, and debt buckets respectively, as well as altering the terms of the stream to account for the reduced raise required. We maintain our target valuation at C\$15.50/sh. Key upcoming catalysts should be the permitting and financing process over the next 15 months, with earthworks having commenced in 2023, and commercial production in 2026.

Updated Feasibility Study delivers robust economics

The company has recently published a definitive feasibility study (“DFS”) for the project that evaluated a 324koz pa gold-equivalent (“AuEq”) mine at an All-in Sustaining Cost (“AISC”) of US\$684/oz based on a 12-year mine life and a reserve of 4.6Moz. The DFS estimated an initial capex budget of C\$713m, delivering an NPV5% of C\$2,003m at an US\$1,800 gold price and US\$23/oz silver price (H&P C\$2,014m at US\$1,850/oz gold and US\$25/oz silver Dec’23). Eskay Creek should become one of the largest gold mines in Canada with the lowest AISC globally. Mining will be carried out from two open pits with a plant producing a concentrate that will be shipped for refining. Low-cost power will be supplied from the grid, supporting low operating costs. Skeena’s second project, Snip, historically produced 1.1Moz at a very high grade of 27.5g/t, with an engineering study on re-opening the mine due in H1 2024. Ore from Snip is of sufficient grade to be trucked to Eskay Creek for treatment.

New zones including Eskay Deep provides long-term upside

Skeena has completed a 14,000m drilling programme to test the potential of the Eskay Deep with hole SK-22-1081 returning 3.79g/t gold and 59.4g/t silver over 32.19m. Exploration is also focused on the 21A West Expansion with better results from 2022 including 20.24g/t gold and 175.2g/t silver over 24m (SK-22-1122). Other targets include the 22 Zone UG, LM UG and the 23 zone. These new areas are likely to provide additional sources of ore for the mine, extending the life of the operation. A five-year mine-life extension driven by resource conversion and the inclusion of ore from Snip in the second half of the mine’s life would increase our unrisks NAV 23%. The 19th December C\$10m flow-through financing will be used to fund exploration activities on Skeena’s projects.

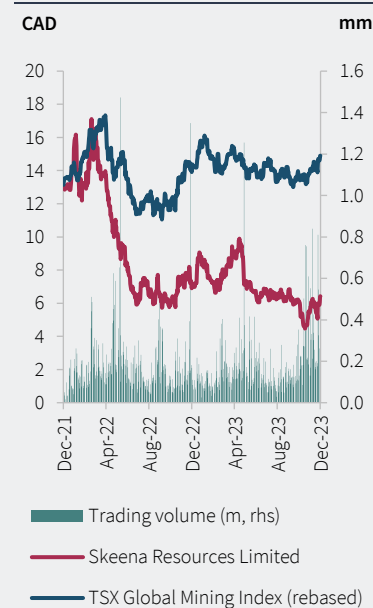
C\$15.50/sh valuation implies 141% upside

Our base assumption values Eskay Creek at C\$2,365m (Dec’24) using a long term gold price of US\$1,850/oz, silver price of US\$25/oz and a WACC of 5%. We value Snip and the likely expansion potential of Eskay Creek at C\$539m. We apply 0.75x and 0.65x multiples, respectively, to take account of development, permitting and finance risks. Including the likely capital structure this implies a valuation of C\$15.50/share.

GICS Sector	Materials
Ticker	SKE.CN
Market cap 19-Dec-23 (C\$m)	539
Share price 19-Dec-23 (C\$)	6.42
Target Valuation (C\$)	15.50

+141%

Upside from current share price to our C\$15.50/sh valuation



Source: S&P CapIQ

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